Business Objectives

Unit 1 · 1.3.5.3 Entrepreneurs and leaders

Corporate (strategic) objectives are the clearly-defined targets a business sets; strategies are the plans to achieve them. They increase motivation, make decisions easier, and let managers measure performance.

The most effective objectives are **SMART**: Specific, Measurable, Achievable, Realistic, Time-bound.

Financial objectives

- **Survival** — staying in business; first priority for a new/struggling firm (Sarah's sandwich shop).
- **Profit maximisation** — greatest possible profit, often for shareholders (Titan Electronics).
- **Sales / revenue maximisation** — growing total sales.
- **Market share** — the proportion of market sales held; via low prices, advertising, sponsorship (Swift Shoes).
- **Cost efficiency** — minimising cost per unit.
- **Profit satisficing** — enough profit while pursuing other goals (Emma's yoga studio).

Non-financial objectives

- **Social objectives** — benefiting society (local sourcing, eco packaging, community — GreenBite). Build loyalty/USP but raise costs.
- **Employee welfare** — staff wellbeing; raises motivation/retention but adds cost.
- **Ethical sourcing** — fair, safe supply (Primark's Code of Conduct); protects reputation but can raise costs.

Firms pursue several objectives at once, and they can conflict — profit vs social/ethical aims — so priorities must be balanced.